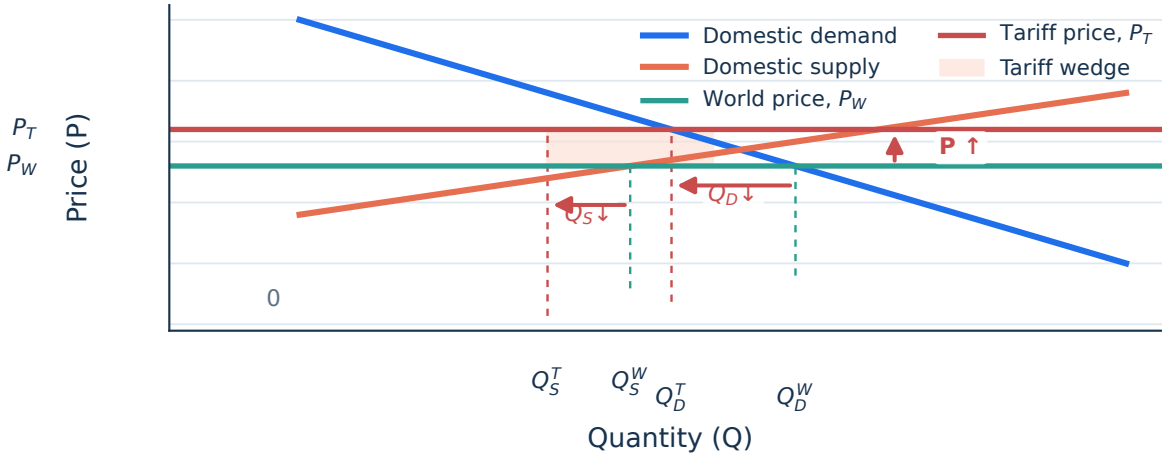
Tariff wedge and the gains from trade

A tariff raises the domestic price, reduces imports, and creates deadweight loss.



Source: APMICRO illustrative data / tariff.csv. | Synthetic international-trade schedule.